ACADEMIC RESEARCH PRESENTATION | STRATEGIC MANAGEMENT

Business Model Analysis: Netflix, Uber & IKEA

Understanding How Different Businesses Create, Deliver and Capture Value

NETFLIX

Subscription Model (SVOD)

Pure digital content distribution with recurring subscriber revenue

UBER

Platform / Marketplace Model

Two-sided liquidity orchestration with transactional take-rate fees

IKEA

Retail / Product Sales Model

Democratic design, flat-pack logistics & destination retail stores

RESEARCH & PRESENTATION DETAILS

Student Researchers: [Student Names / Research Team Placeholder] • Course: BUS 410: Strategic Management & Business Models

Institution: [University / College Placeholder] • Academic Session: Academic Year 2026

CONCEPTUAL FRAMEWORK

What is a Business Model?

Defining how an enterprise creates value for customers, delivers that value, and captures revenue to remain viable.

> **“A business model describes the rationale of how an organization creates, delivers, and captures value.”**
> — Alexander Osterwalder & Yves Pigneur (Business Model Generation). It is not merely how a company makes money, but the entire operating logic connecting product development, distribution channels, cost realities, and customer retention.

1. VALUE CREATION

What problem is solved?

Identifying unmet customer needs, designing compelling offerings, and creating distinct utility through intellectual property, platform algorithms, or physical product design.

2. VALUE DELIVERY

How does it reach users?

The logistics, distribution channels, customer touchpoints, and technical infrastructure required to place the product or service seamlessly into the customer's hands.

3. VALUE CAPTURE

How is money earned?

The monetization architecture (subscription fees, take-rates, retail margins) that recovers operating costs, funds reinvestment, and generates sustainable profit.

THE THREE COMPANY ARCHETYPES IN THIS STUDY

- **Netflix — Subscription Model:** Captures value through recurring monthly access fees. Customers pay for continuous on-demand content access rather than per-title purchases.
- **Uber — Platform / Marketplace Model:** Captures value via transactional take-rate fees. Coordinates independent drivers and riders without owning vehicles or employing drivers directly.
- **IKEA — Retail / Product Sales Model:** Captures value via product gross margins on high-volume physical goods. Couples flat-pack logistics with destination retail experiences.

RESEARCH METHODOLOGY

Why These Three Companies?

Selected to represent three fundamentally divergent operating architectures across the asset and delivery spectrum.

NETFLIX
Pure Digital Content & Subscription

Core Asset

Proprietary content library & streaming software algorithms

Asset Dependency

Near-zero physical delivery assets; marginal distribution cost approaches zero

Revenue Engine

Predictable recurring monthly membership fees across multiple pricing tiers

Cost Structure

Heavy upfront content amortization & production, cloud infrastructure (AWS)

Scalability Lever

Global digital reach; adding an extra viewer adds virtually zero delivery cost

UBER
Two-Sided Platform / Marketplace

Core Asset

Matching & routing algorithms, two-sided network liquidity & trust systems

Asset Dependency

Asset-light; does not own vehicle fleets or employ drivers directly

Revenue Engine

Transactional platform take-rate (~27%) deducted per completed trip/order

Cost Structure

Commercial automobile insurance, payment processing, platform tech & incentives

Scalability Lever

Network effects; increasing local liquidity improves wait times and driver earnings

IKEA
Physical Retail & Integrated Supply Chain

Core Asset

Global supplier network, flat-pack packaging IP & destination warehouse stores

Asset Dependency

Asset-heavy physical logistics, massive real estate, raw materials & inventory

Revenue Engine

Direct product gross margin from high-volume home furnishing sales

Cost Structure

Raw materials, maritime/truck freight, store staffing & warehouse maintenance

Scalability Lever

Extreme supply-chain scale, flat-pack container density & customer self-assembly

Netflix: On-Demand Entertainment at Global Scale

Pioneering the subscription video-on-demand (SVOD) archetype through continuous content investment and global distribution.

CORE BUSINESS PROFILE

What Netflix Does: Provides a direct-to-consumer streaming entertainment service with TV series, documentaries, feature films, and mobile games across multiple genres and languages.

Industry: Digital Streaming Entertainment, Media & Direct-to-Consumer SVOD.

Target Customers: Global consumers seeking friction-free, personalized, high-quality on-demand entertainment across connected household and mobile devices.

Core Value Proposition: Unlimited, commercial-free or ad-supported streaming anytime, anywhere; personalized algorithmic discovery; high-profile exclusive original programming.

Access & Delivery Channels: Proprietary Netflix software applications on Smart TVs, smartphones, tablets, web browsers, and game consoles, powered by Netflix Open Connect CDN.

Basic Revenue Model: Predictable recurring monthly subscription fees across multiple tiers, supplemented by an emerging ad-supported tier.

CUSTOMER-TO-SERVICE VALUE DELIVERY FLOW

Step 1: Customer Onboarding
Subscriber creates an account and selects a monthly plan (Standard with Ads, Standard, or Premium). Payment is set to auto-renew.

Step 2: Platform Personalization
Proprietary machine-learning algorithms ingest initial preferences to construct a hyper-personalized recommendation homepage.

Step 3: Content Delivery (Open Connect)
Netflix caches video files locally on ISP networks via custom Open Connect appliances, ensuring low-latency streaming without buffering.

Step 4: Continuous Consumption & Value Capture
Subscriber streams unlimited content. Predictable monthly fees provide upfront cash flow to finance upcoming studio productions.

GLOBAL OPERATIONAL SCALE (FY2024)

301.6 Million Paid Memberships | Available in 190+ Countries | $39.0 Billion Annual Revenue

Operates with negative working capital in direct-to-consumer streaming as customers prepay monthly before content amortization is recognized.

Primary Source & Verification: Netflix, Inc. Form 10-K for FY ended December 31, 2024; Netflix Investor Relations (ir.netflix.net).

Netflix: The Economics of Subscription & Retention

How Netflix transforms upfront recurring subscription cash flow into long-term intellectual property and operating leverage.

1. Customer Sign-Up
Selects streaming tier online / mobile app

2. Recurring Billing
Automatic monthly prepayment collected

3. Content Streaming
Unlimited on-demand consumption via CDN

4. Continuous Retention
ML recommendations minimize subscriber churn

5. Cash Reinvestment
Reinvested into original content IP library

PRICING TIERS & MONETIZATION

- **Multi-Tier Strategy:** US plans include Standard with Ads ($6.99/mo), Standard ad-free ($15.49/mo), and Premium 4K ($22.99/mo).
- **Paid Sharing Rollout:** Implemented 'extra member' fees ($7.99/mo) to monetize password sharing across separate households.
- **Ad-Supported Tier Expansion:** Creates an incremental high-margin B2B advertising revenue stream while lowering entry price for price-sensitive consumers.
- **Predictable Inflow:** High monthly recurring revenue (MRR) enables long-range studio production planning.

CONTENT COST ENGINE & LEVERAGE

- **Heavy Upfront Cash Outlay:** Netflix spends ~$17B annually in cash on licensed and produced original programming.
- **Amortization Over Time:** Content costs are capitalized on the balance sheet and amortized over an estimated viewing window (predominantly within 3–4 years).
- **Operating Leverage:** Because content creation costs are largely fixed, each additional subscriber flows directly to operating margin expansion.
- **Operating Margin Expansion:** Operating margin improved from 20.6% in FY2023 to 26.7% in FY2024 as subscriber scale expanded.

VERIFIED FINANCIAL PERFORMANCE

- **FY2024 Total Revenue:** $39.00 Billion (+16.0% YoY vs $33.72B in FY2023).
- **FY2024 Operating Income:** $10.42 Billion (Operating Margin: 26.7%).
- **FY2024 Net Income:** $8.71 Billion (+61% YoY vs $5.41B in FY2023).
- **Global Paid Memberships:** 301.6 Million subscribers at year-end 2024.
- **Strategic Milestone:** Ceased reporting quarterly membership numbers starting in 2025 to focus investors on revenue, operating margin, and engagement.

Primary Source & Verification: Netflix, Inc. Form 10-K (FY2024); Netflix Shareholder Letters & SEC Filings; official pricing data (2024/2025).

Netflix: 9-Block Business Model Canvas

Visualizing the complete Osterwalder & Pigneur canvas showing how digital assets create and monetize subscriber relationships.

1. KEY PARTNERS

- Creative talent (writers, directors, actors) & guilds
- Independent TV & film studios
- Internet Service Providers (Open Connect appliances)
- Consumer electronics OEMs (Smart TV remote buttons)
- Amazon Web Services (cloud backend infrastructure)

2. KEY ACTIVITIES

- Original content production & global IP acquisition
- Recommendation ML algorithm optimization
- Platform engineering & low-latency CDN streaming
- Global marketing & subscriber retention management

6. KEY RESOURCES

- Proprietary content catalog & studio IP
- User viewing behavior datasets & ML models
- Netflix brand equity & global subscriber base
- Open Connect CDN hardware infrastructure

3. VALUE PROPOSITIONS

- Unlimited, on-demand high-definition streaming entertainment
- No broadcast scheduling constraints or commercials (tier dependent)
- Hyper-personalized algorithmic content discovery
- Binge-ready exclusive original series & global hits
- Seamless cross-device viewing with instant resume
- Flexible cancel-anytime monthly subscription terms

4. CUSTOMER RELATIONSHIPS

- Automated self-service platform experience
- Hyper-personalized user interface & recommendations
- Frictionless automated monthly recurring billing
- Self-serve account management & 24/7 online support

7. CHANNELS

- Netflix native apps across Smart TVs, consoles & mobile
- Web browsers (Netflix.com)
- Telecom / Pay-TV bundle distribution partnerships
- Social media, digital trailers & global brand marketing

5. CUSTOMER SEGMENTS

- Mass-market consumers & household families
- Binge-watchers seeking scripted dramas & series
- Movie enthusiasts & documentary followers
- International local-language audiences (Korean, Spanish, etc.)
- Digital advertisers (B2B ad-supported tier segment)

8. COST STRUCTURE

- Content Amortization & Licensing: Largest cost driver; production & royalties ($14B+ annually)
- Technology & Development: Software engineering, cloud infrastructure (AWS) & Open Connect caching
- Marketing & Acquisition: Global advertising campaigns, public relations, and promotional events
- General & Administrative: Payment processing fees, legal/copyright defense, and global corporate overhead

9. REVENUE STREAMS

- Monthly Recurring Subscription Memberships: Standard with Ads, Standard (HD), and Premium (4K HDR)
- Paid Sharing Extra Member Fees: Recurring add-on slots ($7.99/mo) for users outside primary household
- Advertising Sales: Direct video ad impression placements within the ad-supported tier
- Scale Anchor (FY2024): $39.00 Billion total revenue; 301.6 Million paying subscribers worldwide

Primary Source & Verification: Synthesized from Netflix, Inc. Form 10-K (FY2024) and Osterwalder & Pigneur Business Model Canvas framework.

Uber: Orchestrating a Real-Time Two-Sided Marketplace

Operating an asset-light technology platform that coordinates urban mobility, food delivery, and enterprise freight.

CORE BUSINESS PROFILE

What Uber Does: Operates a global multi-sided technology platform that matches consumers seeking rides or food/grocery delivery with independent service providers and merchants.

Industry: Urban Mobility, On-Demand Delivery & Technology Platform Services.

Demand Side (Consumers): Riders needing convenient urban transport and diners/shoppers ordering meals and groceries via Uber Eats.

Supply Side (Providers): 7+ million independent drivers and couriers seeking flexible, on-demand earning opportunities using their personal vehicles.

Platform Orchestrator Role: Uber does not own the vehicles or employ drivers as traditional transit operators do; it provides matching algorithms, telemetry, trust/safety verification, dynamic pricing, and payment rails.

Core Segments: Mobility (Ride-hail), Delivery (Uber Eats), and Freight (B2B digital freight brokerage).

TWO-SIDED PLATFORM COORDINATION ARCHITECTURE

DEMAND SIDE: RIDERS / CONSUMERS

- On-demand trip & food delivery requests via consumer app
- Upfront guaranteed pricing & arrival time estimates
- Frictionless cashless payment & digital tipping
- Ride safety features (GPS tracking, driver verification, emergency button)

UBER PLATFORM: THE ORCHESTRATOR

- Dynamic matching algorithms optimize driver-rider proximity
- Surge pricing algorithms balance supply and demand in real time
- Commercial auto insurance umbrella covers active trips
- Automated payment splitting, platform fee retention & driver payouts

SUPPLY SIDE: INDEPENDENT DRIVERS & COURIERS

- Independent vehicle/courier labor; drive on personal schedule
- Algorithmic job dispatching with upfront destination/pay previews
- Weekly direct deposit or instant cashout options
- Driver reward tiers (Uber Pro) offering fuel discounts and roadside help

GLOBAL PLATFORM SCALE (FY2024)

150M+ Monthly Active Consumers | 7M+ Drivers & Couriers | $162.0 Billion Gross Bookings

Asset-light network effects: Higher driver density reduces rider wait times, which attracts more riders, increasing driver earnings per hour.

Primary Source & Verification: Uber Technologies, Inc. Form 10-K for FY ended December 31, 2024; Uber Investor Relations (investor.uber.com).

Uber: Platform Take-Rate & Transactional Economics

Demystifying the marketplace revenue model: how Gross Bookings translate into net revenue via take-rates and fee retention.

1. Trip Requested
Rider inputs destination; upfront fare calculated

2. Driver Matched
Geospatial algorithm dispatches nearest driver

3. Service Executed
Trip completed using driver's personal vehicle

4. Payment Collected
Uber charges rider credit card (Gross Booking)

5. Payout Settlement
Driver gets ~73%; Uber retains ~27% take rate

GROSS BOOKINGS VS. NET REVENUE

- **Gross Bookings ($162.0B in 2024):** The total gross transaction dollar value generated on the platform, including fares, tolls, delivery fees, and taxes.
- **Net Revenue ($43.98B in 2024):** What Uber actually retains after paying out driver earnings and courier incentives.
- **Take-Rate Formula:** Net Revenue ÷ Gross Bookings = Platform Take Rate (~27.1% overall in FY2024).
- **Critical Academic Distinction:** Gross Bookings measure marketplace volume, NOT Uber's corporate revenue. Uber earns its living on the spread.

SEGMENTED TAKE-RATES & MIX

- **Mobility Take-Rate (~28%–29%):** Highest margin segment; driven by mature urban ride-hail liquidity, airport fees, and dynamic surge pricing.
- **Delivery Take-Rate (~15%–16%):** Split between restaurant merchant commission (15–30%) and consumer delivery fee, minus courier delivery payouts.
- **Uber One Subscriptions:** Cross-platform membership program ($9.99/mo) driving recurring member loyalty and higher trip frequency across rides and food.
- **Platform Advertising:** High-margin sponsored listings for restaurants in Uber Eats and brand video ads within the rider app.

VERIFIED FINANCIAL PERFORMANCE

- **FY2024 Gross Bookings:** $162.0 Billion (+18.2% YoY vs $137.9B in FY2023).
- **FY2024 Total Revenue:** $43.98 Billion (+18.0% YoY vs $37.28B in FY2023).
- **GAAP Operating Income:** $2.80 Billion (Solid GAAP operating profitability following historical losses).
- **Free Cash Flow Generation:** $6.9 Billion in FY2024, demonstrating that asset-light platform scale can convert to high cash conversion.
- **Vehicle Fleet Ownership:** Zero balance sheet capital tied up in vehicle fleets or depreciation.

Primary Source & Verification: Uber Technologies, Inc. Form 10-K (FY2024); SEC EDGAR database; Investor Presentation Q4 2024.

Uber: 9-Block Business Model Canvas

Mapping the multi-sided architecture connecting consumers, independent contractors, and local merchants.

1. KEY PARTNERS

- Independent drivers & delivery couriers (supply base)
- Merchant restaurants & grocery retailers
- Payment processors & mobile banking networks
- Mapping & location providers (Google Maps APIs)
- Vehicle rental fleets & financiers (Hertz, Avis)
- Insurance underwriters (commercial auto liability)

2. KEY ACTIVITIES

- Dynamic matching & routing algorithm R&D
- Driver background screening & onboarding
- Marketplace liquidity balancing (dynamic surge)
- Customer service & trust/safety escalation

6. KEY RESOURCES

- Proprietary matching & dispatch software
- Two-sided network liquidity & geospatial data
- Uber brand recognition in 70+ countries
- Rider and driver mobile applications

3. VALUE PROPOSITIONS

- FOR RIDERS: Fast, reliable on-demand rides; upfront transparent pricing; cashless convenience
- FOR DRIVERS: Flexible independent work; drive personal vehicle on own schedule; instant earnings cashout
- FOR MERCHANTS: Incremental food/ grocery order volume without managing delivery fleets
- FOR ENTERPRISES: Uber for Business travel management and automated employee meal programs

4. CUSTOMER RELATIONSHIPS

- Automated, platform-mediated self-service
- Two-way feedback & driver/rider star ratings
- RideCheck automated accident detection
- Uber Pro loyalty tiers & fuel discounts for drivers

7. CHANNELS

- Uber and Uber Eats native smartphone apps
- Uber Driver application (supply channel)
- Enterprise API integrations & corporate portals
- Digital app store distribution & social marketing

5. CUSTOMER SEGMENTS

- Urban commuters & car-free city dwellers
- Airport business travelers & tourists
- Diners & households ordering restaurant food
- Gig economy workers seeking flexible earnings
- Local restaurants & grocery stores
- Corporate enterprises (Uber for Business)

8. COST STRUCTURE

- Commercial Automobile Insurance: Uber's largest single operational expense for driver coverage
- Driver Incentives & Acquisition: Promotions to attract drivers in supply-constrained markets
- Technology & Development: Platform engineering, cloud hosting, and mapping licensing fees
- Legal, Regulatory & Settlement: Municipal compliance, licensing, and independent contractor defense

9. REVENUE STREAMS

- Mobility Platform Take-Rate: Retains ~28%–29% of gross ride-hailing fares
- Delivery Platform Take-Rate: Retains ~15%–16% via restaurant commissions and consumer fees
- Uber One Subscription Memberships: $9.99/mo cross-platform subscription revenue
- Scale Anchor (FY2024): $43.98B Net Revenue derived from $162.0B in Total Gross Bookings

Primary Source & Verification: Synthesized from Uber Technologies, Inc. Form 10-K (FY2024) and Osterwalder & Pigneur Canvas methodology.

IKEA: Democratic Design & Flat-Pack Supply Chains

Pioneering high-volume home furnishings through democratic design, flat-pack logistics, and customer co-production.

CORE BUSINESS PROFILE

What IKEA Sells: Affordable, well-designed, functional furniture, home accessories, kitchen systems, and food products, sold predominantly as flat-pack items for customer assembly.

Industry: Home Furnishings, Consumer Goods & Global Omnichannel Retail.

Target Customers: Cost-conscious consumers, young apartment renters, families, students, and DIY homeowners seeking functional Scandinavian design at accessible prices.

Core Value Proposition: “Democratic Design” — balancing Form, Function, Quality, Sustainability, and Low Price so that good design is accessible to the majority of people.

Operating Structure: Operates via a two-tier franchise system: Inter IKEA Group owns the brand/concept IP and develops the range; Ingka Group operates ~90% of retail stores globally.

Basic Revenue Model: Direct physical product sales in high volumes, combined with growing e-commerce and in-store restaurant dining.

THE INTEGRATED PHYSICAL VALUE CHAIN JOURNEY

Step 1: Democratic Design to Price
Products are designed starting from an affordable target retail price tag, optimizing dimensions for raw material utilization.

Step 2: High-Volume Global Sourcing
Long-term purchase contracts with ~1,000 suppliers in 50+ countries drive economies of scale and minimize scrap.

Step 3: Flat-Pack Logistics & Shipping
Disassembled goods packed into flat boxes. Eliminates shipping 'air', fitting up to 6x more units into ocean containers.

Step 4: Store / Omnichannel & Co-Production
Customers explore inspirational room-setting showrooms, pick items from self-serve warehouses, transport, and assemble goods.

GLOBAL OPERATIONAL SCALE (FY2024)

€45.1 Billion Total Retail Sales | 400+ Stores & 174 Order Points | Ingka Group: €41.8B

Customer co-production: By having customers pick, transport, and assemble their own furniture, IKEA transfers labor costs out of the product price.

Primary Source & Verification: Inter IKEA Holding B.V. Financial Summary FY24; Ingka Holding B.V. Annual Summary FY24 (about.ikea.com & ingka.com).

IKEA: High-Volume Retail & Cost-Out Architecture

How IKEA achieves sustainable product margins by driving supply-chain efficiencies and customer co-production.

1. In-House Design
Designed to target cost & flat packaging specs

2. Bulk Sourcing
Long-term contracts with ~1,000 global factories

3. Flat-Pack Logistics
High container density cuts freight volume

4. Destination Store
Showroom inspiration drives multi-item baskets

5. Cash Checkout
Product margin captured; customer self-assembles

VOLUME RETAIL & FLAT-PACK LEVERAGE

- **High-Volume Product Sales:** Revenue is driven by massive global sales volume of home furnishing items, capturing retail gross margins.
- **Shipping Furniture, Not Air:** Flat-pack design reduces transport volume by up to 80%, lowering fuel, shipping container, and warehouse storage costs.
- **Customer as Logistics Partner:** Customers pick up flat boxes from the warehouse racks, load their vehicles, and assemble items at home.
- **Labor Cost Transfer:** Shifting final assembly to the customer eliminates factory assembly labor and bulky transit packaging from retail prices.

STORE EXPERIENCE & FOOD MONETIZATION

- **Inspirational Maze Layout:** Deliberately guides shoppers past fully furnished room-settings, stimulating impulse purchases of home accessories.
- **IKEA Restaurant & Swedish Food Market:** Food operations are strategically priced to reinforce the store's overall affordability perception and extend shopper dwell time.
- **Omnichannel Integration:** E-commerce sales and urban click-and-collect planning studios complement destination suburban blue-box warehouses.
- **Ancillary Services:** Charges optional fees for home delivery, kitchen planning, and third-party assembly (TaskRabbit integration).

VERIFIED FINANCIAL PERFORMANCE

- **Total Global Retail Sales (FY2024):** €45.1 Billion across all IKEA franchisees worldwide (vs €47.6B in FY2023).
- **Deliberate Price Reduction Strategy:** Ingka Group invested €2.1+ Billion in FY2024 to lower retail prices to support consumers battling inflation.
- **Volume & Visitation Rebound:** Store visits grew +3.3% and online visits surged +28% in FY24 following strategic price cuts.
- **Inter IKEA Group (Franchisor):** Reported FY2024 total revenue of €26.5B and Net Profit of €2.2B derived from wholesale supply and franchise fees.

Primary Source & Verification: Inter IKEA Group Financial Summary FY2024; Ingka Group Annual Summary FY2024; IKEA Concept documentation.

IKEA: 9-Block Business Model Canvas

Visualizing the physical retail canvas combining global sourcing, flat-pack logistics, and customer self-service.

1. KEY PARTNERS

- 1,000+ manufacturing suppliers in 50+ countries
- Sustainable material certifiers (FSC wood, Better Cotton)
- Global maritime shipping & multimodal freight carriers
- Franchise partners (Ingka Group and other regional operators)
- Assembly service partners (TaskRabbit gig network)

2. KEY ACTIVITIES

- Democratic design (form, function, quality, low price)
- Global supply chain & packaging optimization
- Warehouse retail store operations & logistics
- Omnichannel digital platform development & catalog

6. KEY RESOURCES

- Iconic IKEA brand & trademark rights
- Proprietary flat-pack furniture design IP
- Large-format destination retail real estate
- Automated global distribution centers & supply network

3. VALUE PROPOSITIONS

- Scandinavian-designed home furnishings at prices affordable to the majority
- Immediate take-home product availability via flat-pack self-service
- Inspirational showroom displays solving small-space living challenges
- Family-friendly destination retail experience with Swedish restaurant & play areas

4. CUSTOMER RELATIONSHIPS

- Customer co-production (DIY picking, transport & home assembly)
- IKEA Family loyalty program (discounts & free hot drinks)
- In-store planning specialists & digital design room tools
- Generous 365-day return and replacement policy

7. CHANNELS

- Large-format suburban blue-box warehouse stores
- City-center planning studios & order pick-up points
- IKEA.com e-commerce & IKEA mobile shopping app
- Digital Room Planner AR/VR mobile applications

5. CUSTOMER SEGMENTS

- Price-conscious mass-market consumer households
- Young adults, college students & first-time home renters
- Growing families needing modular storage & children's furniture
- DIY home improvers & small business / office furnishers

8. COST STRUCTURE

- Raw Material & Manufacturing: Direct procurement costs for timber, particleboard, steel, and textiles
- Global Freight & Logistics: Ocean container freight, trucking, and automated distribution center handling
- Retail Store Real Estate & Operations: Warehouse construction, land leases, utilities, and store coworker payroll
- Sustainability & Circularity: Investments in renewable energy, circular recycling, and sustainable forestry

9. REVENUE STREAMS

- Direct Retail Product Sales: High-volume sales of furniture, kitchen systems, and home decor items
- Food & Beverage Sales: In-store Swedish Restaurant, Bistro, and Swedish Food Market groceries
- Ancillary Customer Services: Optional home delivery, measurement, and assembly installation fees
- Franchise Fees (Inter IKEA): Wholesale margins and 3% franchise royalty fees paid by retail operators

Primary Source & Verification: Synthesized from Inter IKEA Group Financial Summary FY24, Ingka Group Annual Summary FY24, and Osterwalder Canvas.

CROSS-CASE SYNTHESIS

Comparing the Three Business Models

Direct comparative analysis of value creation, value delivery, and value capture across digital, platform, and retail models.

ANALYSIS DIMENSION	NETFLIX (Subscription)	UBER (Platform / Marketplace)	IKEA (Retail / Product Sales)
Core Archetype	Direct-to-Consumer SVOD Subscription	Asset-Light Two-Sided Marketplace	Vertically Integrated Omnichannel Retailer
Primary Customer	Consumers seeking on-demand video entertainment	Riders needing mobility + Diners ordering food	Households seeking affordable home furnishings
How Value is Created	In-house original content studio IP & ML personalization algorithms	Dynamic matching algorithms, real-time routing & two-sided network liquidity	Democratic design, low-cost raw material sourcing & flat-pack manufacturing
How Value is Delivered	Global low-latency Open Connect CDN to any connected screen	Mobile app dispatch connecting independent drivers to riders in real time	Destination warehouse showrooms, flat-pack logistics & e-commerce
Value Capture Mechanism	Recurring monthly access fees across 3 subscription tiers + ad impressions	Transactional take-rate (~27%) deducted from gross trip/ delivery bookings	Gross margin markup on high-volume physical product unit sales
Asset & Fleet Dependency	Pure digital assets (Content IP & software); zero physical delivery infrastructure	Asset-light software platform; does NOT own vehicle fleets or employ drivers	Asset-heavy physical infrastructure; massive real estate, inventory & global logistics
Customer Relationship	Automated, personalized, continuous engagement focused on churn reduction	Transactional, on-demand, episodic interaction governed by ratings & algorithms	Self-service co-creation; customers pick, transport, and assemble goods (DIY)
Marginal Cost Dynamics	Near-zero marginal cost to serve an incremental streaming viewer	Low marginal tech cost, but driver incentives & commercial insurance scale with trips	High unit marginal cost; each additional table requires wood, fabric, and shipping
FY2024 Financial Anchor	$39.00B Net Revenue (Form 10-K) 301.6M Global Subscribers (26.7% Op Margin)	$43.98B Net Revenue / $162.0B Gross Bookings 150M+ Active Users ($2.8B GAAP Op Income)	€45.1B Total Global Retail Sales 400+ Stores / €2.1B Invested in Price Cuts

Primary Source & Verification: Cross-company synthesis based on FY2024 official annual reports, 10-Ks, and corporate disclosures. No model is objectively superior; each aligns with its distinct value chain.

ANALYTICAL SYNTHESIS

Key Research Takeaways & Strategic Insights

Synthesizing four core analytical lessons on how value creation, delivery, and capture interact in practice.

1. VALUE CAPTURE MUST MIRROR VALUE DELIVERY

A company's revenue model is not arbitrary; it must reflect how utility is consumed.

- Netflix bills monthly because entertainment streaming is continuous and habitual; charging per view would create high consumer friction.
- Uber monetizes per transaction because urban transportation needs are discrete, sporadic, and immediate.
- IKEA charges per tangible unit because physical manufacturing and raw material procurement impose direct unit costs.

2. ORCHESTRATION CAN REPLACE ASSET OWNERSHIP

Uber proves that an enterprise can deliver immense physical value without owning physical delivery assets.

- Coordinates 7M+ vehicles purely through algorithms, real-time telemetry, dynamic pricing, and trust ratings.
- However, asset-light models do not escape physical constraints: commercial auto insurance and driver supply incentives remain multi-billion-dollar cost centers.
- Platform scalability requires maintaining delicate liquidity balance on both sides of the marketplace simultaneously.

3. THE REALITY OF SCALE: FIXED IP VS. VARIABLE COSTS

Scale operates through fundamentally different mechanisms across digital and physical domains.

- Netflix streams at near-zero marginal cost per viewer, but must reinvest ~$17B cash annually into content to prevent churn and defend IP moats.
- IKEA faces unavoidable variable costs for every chair produced, but achieves cost leadership through extreme flat-pack density and global purchasing scale.
- Digital scale shifts expenses to upfront fixed capital; physical retail scale optimizes marginal supply-chain flow.

4. A BUSINESS MODEL IS AN INTEGRATED VIRTUOUS SYSTEM

A sustainable business model is far more than a monetization scheme.

- IKEA's famous low prices are physically impossible without flat-pack container packing and customer self-assembly.
- Uber's 3-minute pickup times are impossible without dynamic surge pricing maintaining driver availability.
- True competitive advantage arises when all nine canvas components reinforce and lock into each other.

“Different business models, same fundamental question: how does a company create value for its customers and capture enough of that value to remain sustainable?”

Concluding Research Thesis: Business model innovation is not about choosing between digital or physical, but aligning value creation, delivery, and capture into a mutually reinforcing architecture.

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